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Chapter 3

Style Sales Order Processing

Overview



Introduction

Style Sales Order Processing has a wide range functions which not only enable it to be used by a variety of industry specific organisations, but also to change as a company grows and develop in response to a changing environment. The application is designed to support both a rapid 'data entry' style of order entry for use when very few changes or overrides are required, as well as order entry carried out at the same time as a conversation with the customer.

Although the application contains a variety of pricing and discounting routines, in certain circumstances it is necessary to enter a negotiated price or discount. The order may be suspended if non-standard conditions such as zero pricing or credit check failure, arise during entry, dependant upon parameter settings. This allows order taking to continue unhindered, but errors to be trapped.

Day to day decisions are supported by a range of enquiries, which enable stock availability to be projected into the future, customer credit to be examined and orders to be displayed by customers reference, item number and account.

Relationships To Other Applications

The Sales Order Processing application is a fully standardised Style application and, as such, operates under the control of the system manager.

The following applications are prerequisites to Style Sales Order Processing:

- System Manager
- Style Inventory Management
- Accounts Receivable

Normally Style Sales Analysis would also be installed with Sales Order Processing to provide flexible enquiry and reporting on the sales activity of the company.

Application Configuration

As with all Style applications, Sales Order Processing can be operated for a number of companies, the characteristics of each being maintained on a control file. The application is controlled by setting up data both for the company and for each stockroom. This would normally be done after the Inventory and Accounts Receivable companies had been created. The Accounts Receivable, Inventory, and Sales Order Processing applications all use the same company codes for interfacing companies.

Certain data and policies may be set up as a default at the company level. These are:

- Company Name and Address
- Document reference numbers for orders and invoices
- Period and week numbers
- Defaults for Additional Customer details
- Nominated fields for use as search arguments for Customer Selection

These policies and parameters will be used throughout the operation of the application unless overridden at customer or order level.

When the Inventory application is set up, a number of stockrooms may be created. These will be created for a number of purposes, only some of which may be concerned with sales and distribution. Any stockroom from which sales are to be made must be designated as a 'sales order processing' stockroom and defined as such within Sales Order Processing. As well as address and contact information, allocation parameters can be maintained for each stockroom.

Application Set Up Data

There are a number of common features in the way in which data is maintained within Style. These are:

- The standard style search routine which is used to identify styles
- The standard name and address search routine which is used to identify customers
- The standard method for selection of a code or style from a displayed list

The following reference data can be maintained:

Standard Codes and Descriptions

Customers

Styles

Prices and Discounts

Standard Codes And Descriptions

A description or parameters file is used by Style in most applications for a number of purposes. Primarily, it enables codes to be set up with standard descriptions. This provides validation at the time of data entry and also the display of descriptions on both Screens and reports. In some specific instances a parameter or number may also be stored.

The application has a small number of standard codes and parameters that must be present for the successful operation of a specific application. As the Inventory Management application is the base application for both Distribution and Manufacturing applications, the establishment of the file is in that application. Maintenance, however, can be performed from most applications, including Sales Order Processing.

Customers

The information held in the application for customers is of equal interest to those managing and collecting the debt as to those recording and processing sales orders. The maintenance routines in each application reflect their specific requirements. They both, however, create and maintain a common database with access to common and exclusive information. For example, the Sales Order Processing application provides functions to control stock allocation, pricing and sales analysis coding.

The structure of the customer information can be manipulated to match the structure of the customers organisation. Customer accounts can be set up as single accounts, or as statement accounts with many invoice to accounts, each of which may have many delivery accounts.

Statement Account

This is shared with the Accounts Receivable application and is normally created and maintained in Sales Order Processing, if both modules are in place. The data held at this level includes credit details, Accounts Receivable parameters and statistical codes.

Invoice Account

Invoices may be sent to an invoice only address.

Delivery Account

Many delivery (ship to) addresses may be set up for an account. This is done by adding a three character suffix to the eight character invoice account code.

Additional Information

Each account to which items are delivered may have additional data to act as defaults during order entry. This enables different parts of a Customers organisation to have different commercial terms and be serviced from a different warehouse.

Styles

Style master information can be maintained from Sales Order Processing. This includes style description, both external and internal additional text and all of the style codes and classifications used in Sales Analysis.

Style alternatives are maintained in the Inventory application but are used in Sales Order Processing.

Styles may be created with up to 100 colours and 30 sizes and 30 fits of each. This gives a maximum of 3000 variations.

Prices And Discounts

In order to get the full benefit from Sales Order Processing, pricing and discounting should be performed by the application. This reduces errors, and hence credit notes and customer irritation. Style provides for pricing to be performed at both order entry, using customer and style criteria, or at shipping. Alternatively, prices and discounts may be set manually.

Many price and discount lists can be created. This may be necessary for a number of reasons, for example, different market sectors, customers or multiple currencies. Discounting can be based upon quantity or value and be given in terms of percentage or value. A discount may apply to an item, a range of items or the whole order.

Effectivity dates can be used to control the application of new prices and discounts.

Price Lists

A price list can be used throughout the company or for an individual customer. Price lists are identified by a code which is held as part of the customer additional information.

The style entries within a price list have an effectivity start date so that price changes may be entered onto the application in advance of their introduction.

Global increases by percentage can be applied to an individual price list. A new list may be created by copying an existing list.

Discount Lists

A discount list can be applied throughout a company or to an individual customer in a similar manner to price lists - the appropriate code being set up on the customer additional details record.

Discounts can be based on quantity or value breaks, either in the form of a percentage or an amount.

A discount can be allocated to an individual item, or alternatively the same discount can be given to all items in a discount group. A discount group is an attribute of a style and is set up in Style Maintenance to group related items together for discounting purposes.

Order Processing Cycle

Sales Order Processing has five main procedures:

- Record order details
- Stock allocation
- Pricing, discounting and credit checking
- Pick items from stock and ship
- Generate invoice

Each one of these procedures has a number of tasks each with a large number of options.

Record Order Details

The Style Sales Order Processing Application provides two major types of order entry - transcriptional and conversational. The first is designed for batch processing and no dialogue with the customer at the time of entry. This would typically be used perhaps where orders have previously been entered onto an order pad, and a high customer service level means that as most items will be allocated, few overrides are required. Stock can never be allocated at order entry time using the transcriptional method.

To complement this, conversational order entry is designed to support a dialogue with the customer, offering alternatives in a short stock situation and agreeing on price and discount changes.

Both types of order have three phases:

- Order header
- Order lines
- Extra charges

Order Header

The customer is identified and the standard defaults such as pricing, allocation rules, supplying warehouse and trading terms are retrieved.

Order Lines

For transcriptional and conversational order entry, orders are entered one style at a time, with opportunity to evaluate availability and alternatives. Pricing is normally automatic, although overrides are possible. Stock allocation can be interactive with conversational order entry, but is not done for transcriptional order entry.

Extra Charges

Standard extra charges may be held on the Descriptions file. These may be viewed and added to an order during the closing procedure. The actual charge may be retrieved from the file or entered specifically for the order. A small order charge may be set on the parameter file and automatically added to the order, should the order value fall below a predetermined value.

Stock Allocation

When an order line is considered for allocation, whether interactively or in batch, the due date is compared with the time fence for the stockroom (this time fence is the number of days required to prepare and deliver orders to the customer). Thus stock is allocated as late as practical and maximum flexibility is retained. During batch allocation it is necessary to sequence order lines for allocation to enable high priority orders to be met. The priority of an order can be taken from the customer or entered at order time. If low priority orders are not satisfied their priority can be increased automatically. This means that at some time their priority becomes the highest and they take precedence.

The priority number is a two-digit number between 00 and 99.

Priority number 00 means that the order line always has to be manually allocated.

Priority number 98 is the highest priority number for automatic increments. Number 99 is reserved for manual entry and will force allocate.

Pricing, Discounting And Credit Checking

In order to get the full benefit from computerised Sales Order Processing, pricing and discounting should be performed by the application. This means that it must have a fundamentally flexible approach to pricing and discounting. The actual price and discounts charged are a function of the trading relationship with the customer, therefore, the trading currency is assumed to be the transaction currency of the customers account. Similarly the price list to be used and the discounts to be given are taken from the deliver to account of the customer. This information is part of the additional data held for customers.

It is normal for the prices charged on the invoice to be dependent upon the date the order is received. There are a small number of instances where the price and discount are determined at the time of shipping. The Sales Order Processing application provides for these decisions to be made for the company in general, for the customer, or specifically for the order.

Prices and discounts are defined as follows:

Price

In the transaction currency of the customer account.

Taken from a price list at order entry or shipping.

Entered and fixed at order entry.

Expressed in the selling units of the order (multiplied by a conversion factor on the price list if required). Currency can be overridden at order level

Discount 1

A percentage or value.

A discount for the item as given on the discount list.

A variable discount depending upon the quantity or value of the item sold.

Or

Discount 2

A discount for the item group as given on the discount list.

A variable discount for the item group depending upon the A percentage or value.

A discount for the whole order as given on the discount list.

A variable discount depending upon the quantity or value of the whole order, quantity or value of the item sold.

Credit Checking

Credit checking is performed at the following times within the application:

Order amend - providing the parameter is set on the company parameter file.

Picking - providing the allocation credit check flag on the company profile is set on.

Different types of credit check can be applied within the application, depending upon the setting of the extended credit check parameter and grace period parameter on

the company parameter file. If the extended credit check parameter is set to zero (No), then the application assumes a credit type of 1 will always apply. If the extended credit check parameter is set to 1 (Yes), then the following credit types may apply:

- 0 - No credit check
- 1 - Credit limit only
- 2 - Credit limit & debt outside of payment terms
- 3 - Debt outside of payment terms

If a number of grace days are entered as a parameter, then these days are added to the normal debtor days before performing the credit check. The actual number of days is set on the Descriptions File using type GRAC.

The application provides for the storage of two credit limits -commercial and insured. The commercial value is used for credit checking purposes.

Orders for customers who have exceeded their credit limit are suspended with the code CL, and for customers who have been placed on credit stop with the code CS.

Picking And Shipping

Selection is provided to ensure that only the picking documents required are actually printed. This selection can be for a number of days, a range of order numbers or a particular warehouse. This allows stock to be allocated to an order well in advance of shipping, but the documents to be printed only when action is required.

This is particularly useful in dealing with large export consignments. When a picking note is printed, all allocations, irrespective of when they were made, are included. This stops documents being produced unnecessarily. If the Warehousing application is installed, requests to ship are released to the warehouse in a similar manner. It is then possible to print consolidated picking lists sequenced by location.

When shipping has taken place this is confirmed to the application. A number of options and facilities are provided.

- A number of shipments may be confirmed together provided that the shipping method and the ship date are common and there are no changes
- An order can be confirmed on its own. This enables additional charges to be added
- An individual shipment may be displayed, amended where necessary and then confirmed

Invoicing

There are a number of ways to request an invoice. These are:

- Confirm the shipment of an order
- Request a miscellaneous invoice - with stock update
- Request a miscellaneous invoice - without stock update

There are also requests for credit notes that operate in an identical fashion to the requests for miscellaneous invoices.

When an invoice or credit note is generated in the application, prices and discounts are either taken from the order, as in the case of a confirmed shipment or created during entry using standard rules. There is a special facility to produce a credit note that is based on an invoice or a stock return. This can be used to reverse a previous posting that was perhaps raised in error.

Having generated the invoice or credit note a procedure is run to post to Accounts Receivable, the General Ledger, and to print documents. Invoices and Credit notes are printed as two separate documents.

An invoice will be raised and printed in the transaction currency of the customers account. Postings will be in both transaction currency and the base currency of the Accounts Receivable. The data that is passed to the Sales Analysis application will be in the base currency of the company.

Enquiries

A significant part of the work done in a busy sales office is answering questions. These are typically regarding:

- The status of an order
- The prices being charged and discounts given
- The date on which a delivery can be expected
- Invoice or credit note queries

Style provides a comprehensive range of enquiries to view:

Orders by :

Order

Customer

Style

Cross Reference (customer reference)

Invoices by:

Invoice

Order

Customer

Stock availability - Time-phased expected stock position.

Stock position - Stock holding at each warehouse.

As well as these day-to-day enquires, the following application reference data can be displayed:

- Customers
- Styles
- Price Lists
- Discount Lists

Reports

Reports can be grouped into reference data, status, exception and action reports.

Reference data :

Customers

Styles

Price Lists

Discount Lists

Commission Lists

Status

Outstanding orders

Back orders

Stock versus outstanding orders

List of orders

Orders summary

Forward orders

Rolling sales forecast

Exception

Unconfirmed picking notes

Suspended orders

Orders with zero price

Gross margin exceptions

Selling price overrides

Zero value invoice lines

Action

Consolidated Pick notes

Pick Lists

Special Tasking report

Implementation Considerations

All Style documentation emphasises the vital importance of careful and detailed planning prior to the introduction of the new application. When Sales Order Processing is installed, two major areas must be considered. These are:

- Have the pre-requisite applications already been installed; and if so, are they set up in a way which is suitable for the operation of Sales Order Processing ?
- How will the functions and facilities of the Sales Order Processing application be used to satisfy the companies basic needs?

This section deals with each issue in turn.

Relationship To Other Applications

The fundamental purpose of the Sales Order Processing application is to record and control your sales order. These orders are for the products of the company and therefore there is a direct relationship between the Inventory Management application and this application. One Sales Order Processing company must be set up for each Inventory company for which sales are to be managed. Similarly, Sales Order Processing will raise invoices for all despatches made from the company and it will expect to post them to the customers accounts in Accounts Receivable. There is, therefore, a simple relationship between the applications for one company; that is, the applications of Inventory, Accounts Receivable, Sales Analysis and Sales Order Processing must share the same two-character Company Code.

A number of Sales Order Processing functions depend directly on data held in the Accounts Receivable and Inventory Management applications. These are:

- The currency of the Sales Order Processing application is determined by the currency setting of the Accounts Receivable company
- The currency of a customer is determined by the currency setting on the customers Accounts Receivable account
- Only alternatives set up in the Inventory Management company will be prompted as replacements for shortages during sales order entry
- The Analysis Codes on the Item Master record are not only used within the Inventory Management application for reporting, but also form the basis of Sales Analysis. Considerable care must be taken to ensure that the coding structure which is set up will meet the analysis needs for the foreseeable future, as the regeneration of the Sales Analysis database can take a very long time

Sales Order Processing Utilisation

When the applications goes 'live', sales orders must be recorded accurately and quickly. Prices and delivery dates are quoted to customers, and your companies reputation is exposed.

It is essential, therefore, that detailed discussions take place which review the facilities offered by the application and decisions made as to how each stage of the order cycle will be handled. For example:

- In what circumstances will conversational order entry be used?
- Will manual pick lists be raised?
- Under what circumstances will order acknowledgements be sent?
- What use will be made of the priority allocation rules?

All of the above are fully discussed in the body of this manual. Some of the decisions require control data to be set up in the applications in order to implement them; others are a matter of agreed procedure; all directly affect the service which you provide to your customers.

Basic Data Set Up

Having decided how you will use Sales Order Processing in conjunction with other applications and the companies you will use, you need to plan and implement the setting up of the basic data required for the applications operation. The main elements you will need to create are:

- Company profiles
- Warehouse profiles
- Price & Discount lists
- Customer Details
- Descriptions
- Items
- Alternatives

The maintenance of these elements is covered in detail in the Application Set up Data section of this guide. It is sufficient here to highlight particular issues to bear in mind when planning the implementation.

Company Profile

The issues which you should address prior to setting up company profiles are:

- Will you wish generally to allow back orders and partial deliveries?
- What is the default priority which you wish to give to new orders, and what are the steps by which that priority is to be incremented when allocation fails?
- Do you want to allow allocation to a level where available stock is negative?
- Do you, as a rule, wish to price orders at order, or despatch time?
- Which fields in the customer database do you wish to form part of your Customer Search facility

Warehouse Profiles

As part of the implementation of the Inventory Management application, you will have set up one or several stockrooms. If any of these stockrooms are to be used to process sales orders, Warehouse Profiles will have to be set up for them in the Sales Order Processing company. For each warehouse you will need to define in particular the normal allocation priority and allocation time-fence for sales orders at this warehouse.

Descriptions

The Sales Order Processing application holds a file of parameter codes and descriptions which is used by itself and other applications. The application makes use of this file. Many description codes will have been set up as part of the implementation of Inventory Management, but there are codes specific to Sales Order Processing which you will need to set up, such as customer classes, cash discounts, extra charges, etc.

Price And Discount Lists

The Sales Order Processing application enables multiple price and discount lists to be maintained. Points to consider prior to setting up these lists include:

- Who, within your organisation, will be allowed to maintain lists? This authority is specified on the price/discount list profile which must be set up for each list
- How many lists do you require? Will you wish to set up lists which are unique to individual customers, or for use on special orders?
- Within your discount lists, will you be able to specify discounts for groups of items, or are they to be specified for individual items? Will you use whole order discounts?

Customers

The main statement account details for your customers may have been set up as part of the implementation of Accounts Receivable. Specifically for Sales Order Processing you will need to set up:

- Invoice and delivery address details -- this application enables the set up of many addresses for invoice and delivery to points for a customer
- Default parameters for controlling the way in which orders for customers are processed, such as the default sales, warehouse, price list, discount list, allocation priority and parameters controlling back orders and partial deliveries
- The customer analysis coding, such as division, territory, salesman, customer class, etc.

Items

Item descriptions and basic data will have been set up as part of the implementation of Inventory Management. It may be worth while reviewing the following, as part of the implementation of Sales Order Processing:

- Analysis coding, i.e. item group, item class, etc.
- Item text - this may be printed in external sales documents

Alternative Items

Alternative items are used within the Sales Order Processing application, but are set up and maintained in Inventory Management. If you do set up alternatives, it is important to decide whether a relationship is reversible.

Initial Data Take On

Once all the basic data has been set up, you are ready to use the application to process sales orders. You may wish to convert outstanding sales orders from another application - this may be done by specially-written programs. Alternatively, you may decide to continue to process existing orders on your old application, and enter new orders, from a given date, into the new application. By this method you may gradually run down orders on the old application and build the order bank on the new, but great care must be exercised over the updating of the inventory figures.